

Employing in Serbia

What You Need to Know · Employment Hero HeroForce EOR · July 2026

What does the EOR handle for you?

- **Employment contracts** — compliant contracts under the Serbian Labour Law (Zakon o radu)
- **Monthly payroll** — salary payments in RSD, itemised payslips
- **Tax withholding** — flat 10% personal income tax withheld and remitted via the ePorezi portal
- **PIO & RFZO** — pension/disability and health insurance contribution stack
- **Leave and termination management** — notice periods, entitlements and severance guidance

Employment Conditions

Contracts & Probation

Item	Detail	Legal Basis
Probation period	Maximum 6 months	Labour Law
Permissible dismissal grounds	Closed list under Article 179; requires written warning, minimum 5 working days for the employee to respond, then a reasoned written termination decision	Labour Law, Art. 179
Standard hours	8 hrs/day, 40 hrs/week	Labour Law

Minimum Wage & Statutory On-Costs (2026)

Measure	Rate	Notes
Minimum wage	RSD 271/hour (~RSD 76,500/month gross)	Set annually by the Social and Economic Council; based on a 198-hour reference month
Employer PIO (pension/disability)	10% of gross salary	No upper cap
Employer RFZO (health insurance)	5.15% of gross salary	No upper cap
Employer unemployment insurance	0.75% of gross salary	Total employer contribution ~15.9% — among the lowest in Europe

Leave Entitlements

Leave Type	Entitlement	Who Pays	Key Condition
Annual Leave	Minimum 20 working days/year	Employer	Labour Law minimum
Sick Leave	Employer pays first 30 days (65%+ of salary), RFZO thereafter	Employer (30 days) + RFZO	Labour Law / Health Insurance Law
Maternity Leave	Up to 365 days combined maternity + parental leave (shorter for subsequent children in some cases)	Employer, reimbursed by the state	Job-protected

★ HERO TIP

Serbia's flat 10% personal income tax and ~15.9% employer contribution rate make it one of the most cost-competitive markets in Europe, alongside Bulgaria and Romania. The main compliance risk sits elsewhere — Serbia's "IT test of independence" actively audits contractor relationships, and reclassification of a paušal (lump-sum) contractor as an employee can trigger back taxes and penalties exceeding €50,000 for long-engaged senior specialists. Always classify Serbian engagements correctly with your HeroForce EOR from day one.

Payroll, Tax & Contributions

Total Cost Example — USD \$3,000 Gross Monthly Salary

Cost Item	Amount (USD)	% of Gross
Gross salary	\$3,000.00	100%
Employer PIO + RFZO + unemployment (15.9%)	\$477.00	15.90%
EOR service fee (HeroForce, Tier 2)	\$600.00	20.00%
Estimated total monthly cost	~\$4,077.00	~135.9%

HeroForce EOR service fee shown at USD \$600 per employee per month (Tier 2 pricing), no setup fee. None of Serbia's employer contributions have an upper cap, but the combined rate (~15.9%) remains among the lowest in Europe. Employee deductions (withheld separately) include employee-side PIO/RFZO contributions and the flat 10% personal income tax.

Termination & Separation

Severance pay for redundancy scales with length of service, calculated from average earnings — the formula and required procedural steps (written warning, response period, reasoned decision) are strict, and non-compliance is a common source of employer liability.

Public Holidays 2026

Date	Holiday	Type
1-2 January	New Year	National
7 January	Orthodox Christmas	National
15-16 February	Statehood Day	National
1 May	Labour Day	National
~April	Orthodox Good Friday and Easter Monday	National (Orthodox calendar)
11 November	Armistice Day	National

Serbia follows the Eastern Orthodox calendar for Christmas and Easter, which differs from the Western (Catholic/Protestant) date.

Ready to hire in Serbia?

HeroForce by Employment Hero is an Employer of Record solution that handles hiring, contracts, compliance and payroll across 180+ countries.

Onboard your first Serbia employee in as little as one to two weeks — HeroForce EOR service fee: **USD \$600** per employee per month, no setup fee (Tier 2).